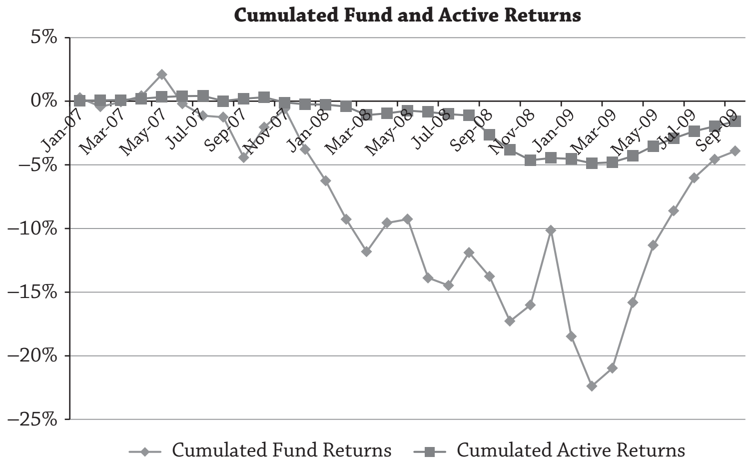

Figure 14.1

positive returns in December 2008. Then the first quarter of 2009 was a roller coaster downward as these measures proved inadequate and policymakers put on further programs to stabilize the financial system. February 2009 was the lowest cumulated return marked in Figure 14.1, at –22%. From there, fund returns gradually climbed back.

Surprisingly, Norwegians weren't that upset by the large losses of the overall fund. It had been a long journey bringing the fund's asset allocation from 100% bonds when the fund was first formed, to 40% equities in 1998, and then to 60% equities in the 2007 to 2009 period. (Since 2011, the fund has had a maximum allocation to real estate of 5% coming from the bond allocation.) The public was well informed of the risks, and parliamentarians had made investment decisions understanding that large holdings of equities brought the risk of large losses. The reward was that, over the long run, equities would earn a return higher than bonds.[2] After all, financial markets have always tended to bounce back.

What Norwegians were angry about were the negative returns generated by *active management*. The fund's manager, Norges Bank Investment Management (NBIM), was supposed to produce returns in excess of a benchmark provided by the Ministry of Finance. The active return is the fund return minus the benchmark return. Figure 14.1 showed that post-2007, cumulated active returns reached –5% during the worst months of the financial crisis. Many members of the public had been expecting active management to steadily add value—after all, wasn't that why those portfolio managers at NBIM were paid so much more than regular bureaucrats? Perhaps the extra fees paid to NBIM for active management were a waste of money, and the fund should be *passively managed* using low-cost index funds.

[2] This is the equity premium, which is discussed in chapter 8.